



Common Block.

Sharing the appreciation of a revitalized neighborhood with the people who live in it

Neighborhood funds that share appreciation with residents, delivered through a dual-rail wallet that keeps the value circulating in the local economy. Pilot: South Shore, Chicago.

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1 Foreword: what this is trying to be

At its heart, this is an attempt to answer a simple question: when a long-neglected neighborhood finally attracts investment, why do the people who endured the neglect so rarely share in the reward? Redevelopment has too often meant displacement: the community improves, and the community leaves. CommonBlock is designed so that improvement and belonging move together. Residents are included in the upside their own neighborhood creates, they get a ladder into modern finance, and they have a reason to help make the neighborhood a place people are drawn to rather than priced out of.

A neighborhood is not one kind of person, and this design doesn't assume it is. Some neighbors have savings and want a return; many don't. So the model offers more than one door. Neighbors who can invest put in as little as \$500 and earn a market return. Neighbors who can't invest can receive a stake anyway, for free: everyone living in a building the fund owns or helps finance, plus households across the neighborhood chosen by lottery. Philanthropy stands in front of both, taking the first loss, and gives half of the upside it forgoes to the households holding free stakes. Outside capital can join, but only in ways that add to the residents' share, never in place of it.

The engine is ordinary real estate finance: buildings bought with bank debt, renovated, managed and eventually sold. What is new is the rails. A conventional investment requires money to enter, which shuts out exactly the people this exists for. Blockchain rails let us grant a stake instead of selling one, split it into many

small pieces, credit it transparently as value grows, and program the rules (who can hold it, how much can be drawn, which deals must carry the residents' share) into the asset itself. And because the same app holds a spendable balance next to the appreciating one, and a debit card that taps at any register, residents can turn a piece of the neighborhood's rise into groceries at the corner store, and the value keeps circulating on the block instead of leaving it. The wealth share is the purpose; the wallet, the card and the circular economy they create are what make it real.

This is a sponsor's best current thinking, not a finished answer. It is shared with people in real estate, philanthropy, law and community development so it can be challenged and improved. Where a question is still open, this draft says so.

2 Executive summary

Disinvested neighborhoods carry an artificially low basis. When patient capital finally arrives at scale, values can rise faster and further than in already-stabilized markets. Captured the conventional way, that gain displaces the residents whose neighborhood is improving, which is unjust and, historically, a source of the resistance that stalls redevelopment in the first place. CommonBlock's reframing: include residents in the upside, and resistance becomes participation.

In one line. Real buildings in a disinvested neighborhood appreciate; a share of that gain is tokenized on a blockchain and given, free, to people who live there; and they can spend it on the block.

The asset

Appreciating real estate. A \$10M fund buys about \$16.7M of South Shore apartment buildings (about 278 apartments) over its first two years, puts about \$2.5M into renovation and backs about \$21M more through advances to local owners. Held to year ten with ordinary bank debt, the portfolio is worth about \$28.5M at sale: roughly \$9M above what it cost.

The token

A share of that gain, on a blockchain. The Community Trust holds 35% of the appreciation and issues it as Wealth tokens on Solana: 1,500 identical stakes per fund, granted rather than sold. Each stake is a claim on real buildings, credited quarterly as they appreciate and never clawed back. The rules live in the token: who can hold it, how much can be drawn against it, and that any deal on these rails carries the residents' share.

The rails

One app, two balances, one card. Next to Wealth sits Spend: dollars, backed one for one, that move only within the neighborhood network. Harvest turns up to 60% of marked Wealth into Spend today, repaid only from the resident's own share at the sale. A CommonBlock debit card in the phone taps at any register and applies Spend wherever the merchant accepts it.

The fund. Each neighborhood fund raises \$10 million: \$5M from community investors (about 1,465 households, \$500 minimum, \$20,000 cap) and a \$5M philanthropic program-related investment (PRI) that takes the first loss for a capped 2% return. The PRI commits its full \$5M at the first close; neighbors invest in closings as buildings are bought: about 40% of the portfolio at the first close, 40% in year one and 20% in year

two. With conventional debt, the fund buys about \$16.7M of apartment and occupied mixed-use buildings and advances \$1.0M of improvement capital to owners of other buildings, reaching about \$21M more of property. Everything is sold at year ten.

The resident share. 35% of the appreciation goes to the households holding granted stakes. Each fund issues 1,500: one for every apartment in the fund's buildings (about 278), one for every apartment in buildings whose owners take an advance (about 343), and about 879 by neighborhood lottery. Half of the upside the PRI gives up also goes to these households. On base-case assumptions each granted stake pays about \$4,500 over the hold, or about \$450 a year on average. Residents never put in capital and never absorb losses.

The neighborhood dividend. Each year 20% of the fund's net operating cash flow is paid out in Spend to every stakeholder household, investors and granted holders alike: about \$1.1M over the hold, or about \$37 a household a year on average. CommonBlock adds a share of its card revenue. The dividend is suspended whenever the fund's debt coverage or reserves fall short.

One app, two balances. Each stake is held as Wealth tokens, credited quarterly on conservative marks. Next to it sits Spend, dollar-backed and restricted to the neighborhood network. Harvest bridges the two: a resident can draw up to 60% of their marked value early as a non-recourse advance, repaid only from their own share when the buildings sell, at 4.5% if it stays in Spend and 7% if it is cashed out to a bank. Checkout is card-first: a partner-issued debit card taps at any standard register, applies Spend at allowlisted merchants up to each merchant's limit, and charges the rest to the resident's own dollars. Everyday spending on the card is what gives the local network real volume.

Investor economics. Community investors earn about 12.2% a year (about 2.9x their money) net of all fees, at today's loan rates. Before half the PRI concession and the dividend go to residents, they would earn about 15%; the difference is the price of a fairer split. The PRI absorbs roughly the first 30% fall in value before community investors lose capital. We disclose the downside plainly: 10.5% at 2% rent growth, 11.2% if exit prices don't improve, and 9.4% if both happen. The result rests on buying at a 9.43% entry yield; at 9.0%, closer to where South Side buildings trade, investors earn about 11.7%.

The company. CommonBlock sponsors and manages the funds and runs the platform, including the card program. On a conservative rollout (one new neighborhood a year for four years, then two a year, with new cities opening in years 5, 7 and 9) it reaches 16 neighborhoods, 26 fund stages and about \$614M of property by year 10, with about \$15.3M of revenue and a value of roughly \$30.4M using real estate manager valuation multiples (working assumptions). About \$15M of that value depends on card adoption that is not yet tested; without card revenue the company is worth about \$15.4M. It needs about \$2.3M to get there, raised as equity in three milestone closes. Foundation money goes entirely to fund first-loss.

3 The thesis: a suppressed basis and the inclusion dividend

Two observations sit at the core of the model.

First, the basis. In a historically disinvested neighborhood, assets are priced as if the future will resemble the past. When capital is deployed at scale, improving buildings and stabilizing blocks together rather than one parcel at a time, the neighborhood can re-rate. Appreciation is larger and faster off a suppressed base than in a market already priced for success.

Second, the inclusion dividend. Residents rarely oppose improvement; they oppose their own displacement. The model treats that fear as a financial variable, not a public-relations problem. A share of appreciation turns opposition into ownership, so the community helps drive revitalization. That participation produces the safety, vibrancy, local businesses and services that make a neighborhood more desirable; rising desirability supports value; higher value enlarges the pool that funds residents' stakes.

The cycle, stated plainly. Investment → appreciation above a suppressed basis → a share credited to residents → a community that helps drive revitalization → a more desirable neighborhood → broader demand and higher values → a larger resident pool → more investment.

The base case does not rely on the full re-rating. Buildings are bought at about \$60,000 a door, a 9.43% going-in yield on today's rents, and are assumed to sell at an 8.68% cap rate with 3% annual rent growth. Residents get no credit for cap-rate improvement until the buildings actually sell.

4 Why conventional redevelopment displaces

Conventional value-add redevelopment captures appreciation by raising rents, selling to the highest bidder and moving on. The people who lived through the disinvestment capture none of the upside and often bear higher housing costs as a result. The predictable response, organized resistance, entitlement delays and political risk, raises the cost of exactly the projects that could stabilize a neighborhood.

This is not abstract in South Shore. For thirteen consecutive years through 2023 it recorded more sales of buildings with five or more units than any other Chicago neighborhood (Institute for Housing Studies, DePaul University). Out-of-state investors bid up that stock: prices for Chicago's lower-cost apartment buildings, the kind that make up most of South Shore, rose from under \$60,000 a unit in 2019 to nearly \$73,000 in 2024 (inflation-adjusted), while rents and renter incomes across the South Side barely moved (DePaul data, as reported by The Real Deal, February 2026). Much of that capital was detached from neighborhood fundamentals. Some owners declined to reinvest, tenants left deteriorating units, and a wave of properties tipped into disrepair and foreclosure. The appreciation was real, but outsiders captured it and left the community less stable.

That cycle has now turned. In 2024 only 34 South Shore buildings with five or more units sold, the fewest since 2010, and lenders filed 20 foreclosure suits against such buildings, the most in a decade and by far the most of any Chicago neighborhood (Institute for Housing Studies, DePaul University, as reported by The Real Deal, February 2026). Brokers report South Side apartment buildings trading near a 9% cap rate (Essex Realty Group, 2026). This draft prices buildings at \$60,000 a door, which on the 2024 level of rents per apartment is a 9.43% entry yield. The Cook County Assessor's 2021 valuation of South Side neighborhood apartments uses expenses of 50% of income, with cap rates that "account for expenses and real estate taxes," 10-16% vacancy, and cap rates of 9-10% for the better buildings (11-14% for the rest). Read that way, a typical building nets roughly \$6,000 a door, above the model's \$5,658; if property tax came on top of the 50%, it would be closer to \$4,700. Real operating statements will settle it. The yield, not the price, is what drives the result: at a 9.0% entry yield investors earn about 11.7%; at the 2024 peak of about 7.75%, about 10.3%, and the neighborhood dividend falls by more than half (Section 13). Both the price and the yield must be tested against real deals.

An earlier version of this model tested the obvious alternative, having the fund hold rent-restricted housing on its own books, and rejected it. It cut investor returns sharply and left almost nothing liquid to share with residents. CommonBlock is a wealth-sharing engine, not a housing provider. It shares the financial upside of revitalization broadly, keeps subsidized buildings subsidized, and works alongside the affordable-housing developers and programs built for that job.

5 The structure at a glance

The value in CommonBlock is real estate. Everything else in this section exists to divide that value fairly and put residents' share somewhere they can use it. Four parts work together:

- **The neighborhood fund** owns the buildings and makes improvement advances to owners. Community investors and the philanthropic PRI hold its equity.
- **The Community Trust**, a charitable entity, holds the residents' 35% claim on appreciation and credits it to stakeholders as Wealth tokens.
- **The rails:** Wealth tokens (the resident stake), Spend (dollar-backed, usable only within the neighborhood network), Harvest (advances against Wealth) and a partner-issued debit card, all in one app. The tokens run on Solana's Token-2022 standard, which handles distribution, allowlists, transfer rules and automated Harvest. The chain adds no value of its own; all the value comes from the buildings. What the chain does is let that value be split into many stakes, governed by code, audited by anyone and spent locally in seconds.
- **CommonBlock**, which will be organized as a public benefit corporation, sponsors and manages the funds, runs property management, and owns the platform, the app and the card program.

Money flows one way into the community. Investors and the PRI fund the buildings; the buildings produce rent and appreciation; most rent goes to investors and 20% is paid to every stakeholder household as the neighborhood dividend; 35% of appreciation, plus half of the upside the PRI forgoes, goes through the Trust to granted-stake households. Residents never contribute capital and the Trust never absorbs losses.

6 The neighborhood fund

6.1 Capital

Source	Amount	Terms
Community investors	\$5.0M	~1,465 households; \$500 minimum, \$20,000 cap; Reg A Tier 2 limits for non-accredited investors; invested in closings as buildings are bought; a minimum first closing is held in escrow before the fund starts buying
Philanthropic PRI	\$5.0M	First loss; return capped at 2% a year; foundation, family office or other philanthropy; commits and funds its full \$5M at the first close
CommonBlock GP commitment	1%	Funded by the sponsor
Senior debt	Market	Construction loans at 70% of purchase plus rehab (about 9.0%); permanent and refinance at 65% LTV (about 7.5%); both at today's rates

The PRI is what makes the structure work. By taking the first loss and capping its return, it protects community investors and frees upside that the fund splits between investors and granted-stake households (Section 9). Its own return is recoverability and the chance to recycle into the next fund.

6.2 What the fund buys

The fund buys about \$16.7M of property: around 278 apartments at about \$60,000 a door. The portfolio is sized so the PRI covers about a 30% fall in value. Buildings are bought over the first two years (about 40% at the first close, 40% in year one, 20% in year two). The PRI funds its full \$5M at the first close, so the first-loss cushion is in place from day one and the fund can buy as deals appear. Until that cash is invested it earns interest (4% assumed, more than the PRI's capped 2%), and the management fee runs on it from launch. Neighbors invest in closings matched to purchases, so their money does not sit idle. Reg A allows a minimum first closing held in escrow, so the raise is not all-or-nothing.

Deal type	Share	Plan
A1 Stabilized residential	75%	Permanent debt at close; light rehab (about \$8,000 a door); hold
A4 Occupied mixed-use	25%	Light business-friendly improvements (about \$12,000 a door)
A2 Vacant or partly vacant residential	0%	Out of the base case: at realistic rehab costs (about \$52,500 a door) it lowers both investor returns and the resident pool
A3 Mixed-use with vacant storefront	0%	Out of the base case (about \$47,500 a door); left to a separate venture that specializes in storefront businesses

The mix is what the model favors, not a rule; the fund can't choose which deals appear. A grid of 186 full-model runs found that at realistic renovation costs every point of heavy value-add lowered both the investor return and the resident pool. Storefront deals are better handled by a venture built for them. Because the same founder is involved in both, any deal passed between them will be on arm's-length terms approved by an independent committee.

Buildings bought with construction loans (the occupied mixed-use deals) refinance at year 5 off stabilized value; debt coverage after the refinance is about 2.2x (all buildings bought at once) against a 1.25x lender test. At year 10 the fund sells, pays selling costs of 2%, repays debt and distributes.

6.3 Returns

On base assumptions, community investors earn about 12.2% a year (the IRR of their closings, net of all fees and promote) and about 2.9x their money. If neighbors' \$5M were also raised at the start, idle cash would cut that to about 11.3%. The portfolio itself earns about 10% a year on all \$10M (measured with all buildings bought at once); investors earn more because the PRI caps its own return, and half of the upside it gives up goes to them. Investor households also receive the neighborhood dividend, worth about 1.1% of the average investment a year, which is not counted in their return.

7 Sharing appreciation with residents

One number, everywhere. Granted-stake households share 35% of appreciation: on the fund's buildings, on the fund's share of buy-in appreciation, and on any accredited deal minted on CommonBlock's rails. At 35%, community investors still clear a 12% return in the base case.

What counts as appreciation. The resident share is measured above purchase price plus initial rehab, so investors get their renovation money back first. Value created later through unit turnover comes to investors through rent.

7.1 Who holds a stake

Each fund issues 1,500 granted stakes. The count is a policy choice: more stakes reach more people with a smaller amount each. At 1,500, the stakes go to:

- **Every apartment in the fund's buildings (about 278).** The stake belongs to the unit. Credits and dividends go to whoever lives there that quarter, and what has been credited stays with that household for good. No one in a fund building is left out, and turnover neither dilutes the stake nor benefits the fund.
- **Every apartment in buildings whose owners take an improvement advance (about 343).** The same unit stakes, which also give owners a reason to take part.
- **Households across the neighborhood, by lottery (about 879).** These are personal stakes held for the life of the fund. A household can win only once; each new fund runs a new lottery for households without a stake.

Buildings are bought over two years, so a unit's stake starts crediting in the quarter its building closes. The pool is divided by stake-quarters, which weights each stake by how long it has been live. Together the 1,500 granted stakes reach about 6% of South Shore's roughly 25,100 occupied households (American Community Survey, 2019–2023); with community investors, about 2,965 households, or 12%, have a stake in each fund.

Open: the lottery's eligibility rules (residence, income, tenure); whether households that invest can also hold a granted stake; and how unit stakes interact with leases and benefit programs (Section 19). A granted stake now pays more than a small investor earns on a \$500 ticket; the break-even investment is about \$2,200, below the average ticket of about \$3,400.

7.2 How big

The appreciation pool is about \$3.5M over the hold after an estimated \$0.3M of tax on the debt-financed share (unrelated business income to the Trust, a counsel question). Half of the PRI concession adds about \$2.7M after the same tax. Together with the neighborhood dividend, each granted stake pays on average:

Base case, per granted stake over the hold	Amount
Appreciation stake (Wealth)	about \$2,400
Share of the PRI concession	about \$1,800
Neighborhood dividend	about \$370
Total	about \$4,500 (about \$450 a year)

Lottery stakes are personal, so one household receives the full amount. Unit stakes belong to the apartment, so in fund and buy-in buildings the amount is shared across whoever lives there over the hold: each household is credited for the quarters it lives there and keeps what it was credited, and the PRI concession and appreciation paid at the sale go to whoever lives there at year ten.

7.3 Who gets what

Every dollar of value has one owner, and residents never carry the downside.

	Puts in	Receives	Puts at risk
Granted-stake households (1,500)	Nothing; living in a program building, or winning the lottery, is the qualification	35% of appreciation above cost, half the PRI concession and the neighborhood dividend: about \$4,500 per stake on average; Harvest up to 60% early	Nothing
Community investors (~1,465 neighbors)	\$5M, from \$500 to \$20,000 each, in closings	Rent, refinance proceeds, 65% of appreciation and half the PRI concession, net of fees: ~12.2% a year, ~2.9x; plus the neighborhood dividend	Their capital, behind the PRI
Foundation PRI	\$5M, first loss	Principal back plus 2%, capped; recycled into the next fund	First loss, ~30% of value
Local merchants	Accept the card, or join the network	Card merchants: normal card payments, paid in dollars. Network merchants also take Spend directly in the app at 1.25%, can pay each other in Spend and buy Harvest Notes at 5%	Nothing
Building owners (advances)	A building and 20% of its future gain	Improvement capital of ~5% of value; keep title, cash flow and 80% of the upside; stakes for their tenants	Nothing beyond the shared gain
CommonBlock	Sponsorship, the platform, a 1% GP commitment	Market fund fees, promote, card and merchant revenue; nothing from the resident pool	GP commitment, startup capital
Accredited investors	Deal-by-deal capital, only with the 35% slice minted in	Deal tokens on normal terms: 20% promote over an 8% pref	Their own capital

8 Wealth, Spend and Harvest: one app, two balances

A resident opens one app and sees two balances: Wealth, which grows as the neighborhood appreciates, and Spend, which works like cash in the neighborhood. Harvest moves value from the first to the second, and a debit card in the same app spends both. That pairing is the product. Most tokenized real estate stops at the first balance; a stake you can only watch is not much use to a household that needs groceries this month. Most local-currency programs stop

at the second; spendable scrip with nothing appreciating behind it is a coupon. Putting them in the same wallet, with a deliberately conservative bridge between them, is what makes a share of appreciation feel like wealth to the person holding it.

Why a blockchain, and not a spreadsheet. Four things the token has to do that a cap table and a gift card cannot: grant many identical stakes with no minimum and no lawyer; carry its own rules (who can hold it, the 60% draw limit, the residents' 35% on any deal minted on the rails, where Spend can move); sit on a public ledger the neighborhood can audit; and settle at a corner store in seconds. The chain adds no value of its own. The buildings do. It is what lets that value be split, governed, moved and spent locally.

8.1 Wealth tokens: the resident stake

A resident's stake is held as Wealth tokens. Value is credited quarterly on the fund's conservative mark (Section 12) and is high-water: once credited, it is never taken back. Wealth tokens are meant to be held, not spent or traded; they are never swappable for other assets. With all buildings bought at the first close, a stake is credited at about \$530 by year 5 and grows to about \$2,600 of appreciation at the sale, before the PRI concession and the dividend; buying over two years lowers that to about \$2,400.

8.2 Spend: dollars that stay on the block

Spend is backed one for one by dollars (held as a regulated stablecoin through a licensed partner), so it is always worth a dollar and a merchant can always redeem it. Unlike an ordinary stablecoin, it can only move between residents and approved neighborhood merchants; it leaves the network only when it is redeemed. That restriction is what keeps Harvest money local, which a plain stablecoin could not do.

- **Merchants choose.** A network merchant can redeem Spend for dollars, or keep it to pay other network merchants or buy Harvest Notes, at no fee. Keeping it is the recirculation nudge.
- **Merchants set their own limits.** A merchant can accept Spend for up to a set share of each purchase, or fund its own offers ("pay with Spend, get 10% extra"). The program launches with one uniform rule; a merchant registry with a per-merchant limit is built from day one.
- **One network spans every neighborhood,** so as CommonBlock neighborhoods grow and touch, Spend works in more places.

8.3 Checkout: card-first

Residents don't need merchants to install anything. A partner-issued virtual debit card lives in the app and taps through the phone (Apple Pay and Google Pay first). It works at any standard register. When it is used at an allowlisted local merchant, the card program draws on the resident's Spend first, up to that merchant's limit, and charges the rest to the resident's own dollars; everywhere else it works as an ordinary debit card. The merchant is paid in dollars through its normal processor and pays its normal card fees; the program redeems the Spend behind the scenes. The local restriction lives in the card program as well as in the token. CommonBlock keeps the list of local merchants where the card applies Spend, from the merchant registry; at launch one uniform limit applies, and a merchant can opt out or set its own.

- **Two ways to pay, two kinds of merchant.** Card merchants do nothing new: they take the card like any other and are paid in dollars. Network merchants also accept Spend directly, by scan-to-pay in the app. Those payments settle in Spend in seconds at a 1.25% fee instead of card fees, and the merchant can keep the Spend to pay other network merchants or buy Harvest Notes, or redeem it for dollars. How the card partner settles Spend at card merchants is a partner and counsel question still open.

- **Bank linking.** The app links the resident's bank account for balances and funding. Whether residents keep a dollar balance in the app or the partner fronts purchases and settles from the bank the next day is a partner and design decision still open.
- **One partner, ideally,** for stablecoin custody, identity checks, card issuing and bank linking.
- **Swaps for other crypto assets are a later phase, not the pilot.** Money that has left the network is the resident's own; a partner-run feature for it is possible later.

8.4 Harvest: using value early without selling it

Most of a stake's value arrives at the sale. Selling the stake early would hand most of that upside to the buyer, because early in the hold a stake's conservative mark is a small fraction of what it is expected to be worth. So Harvest is an advance, not a sale.

- A resident can draw up to 60% of their conservatively marked Wealth value.
- Advances kept in Spend and used locally accrue 4.5% a year; advances cashed out to a bank accrue 7%. Spend can't leave the network without the 7% rate, so the cheaper path keeps the money local.
- Repayment comes only from that resident's own share at the sale. There is no personal liability, the resident keeps every token, and it is likely not a taxable event (counsel to confirm).
- **Harvest can never pay rent** at a CommonBlock-managed building; the card program blocks it.

The fund funds Harvest itself, in order: part of the year-5 refinance proceeds, a reserve of 4% of NOI, and the \$500K distribution-smoothing reserve. Resident savers and merchants can also buy Harvest Notes (a 5% senior claim on repayments). In the base case (all buildings bought at once) every request is funded: about \$1.05M is advanced over the hold, and the resident pool covers what's owed 3.0 times at the sale. Exit values could fall about 22% further before advances exceeded the pool.

8.5 Prize-linked saving

A sponsor funds a \$60,000-a-year prize program (15% for administration) at no cost to residents or investors. Two tracks, weighted 65/35 toward saving: saving prizes are credited to Wealth; spending prizes are paid in Spend at local merchants. Entries come from holding undrawn value, keeping a streak and completing short financial-learning modules, so no one's odds are ever zero. The model assumes the program reduces drawing by 10 percentage points; that assumption is the program's whole payoff and needs testing.

The lesson is built in. Per stake, with all buildings bought at the first close, a resident who saves receives about \$2,600 of appreciation at the sale. One who draws the maximum receives about \$760 early and about \$1,640 at the sale; about \$170 went to interest for spending sooner.

8.6 The app: four things a resident does

- **See it grow.** The Wealth balance is credited every quarter on the fund's conservative mark, with the mark itself visible, and the neighborhood dividend arrives in Spend.
- **Harvest in one tap.** Move up to 60% of the marked value into Spend, or to a bank account, with the cost of each shown before confirming.
- **Tap to pay anywhere.** The card works at any register; at allowlisted local merchants it uses Spend first, up to the merchant's limit, so a resident never has to think about two kinds of money.

- **Learn by doing.** Each move is explained in plain language as it happens, and short money lessons earn prize entries. For many residents this is a first wallet, a first appreciating asset, and a first experience of watching one grow.

The tax, securities and custody machinery stays under the hood. Regulated partners handle custody, identity checks and the card; CommonBlock builds the experience and the rules. Cash-out to a bank is always available, at the 7% rate for Harvest money, so no one is locked into the network.

9 The neighborhood dividend and the philanthropic concession

A resident's Wealth stake is real, but most of its value arrives when the buildings sell, ten years out. A claim that sits on paper for a decade is hard to feel, and in a neighborhood that has watched promises of investment come and go, what people can't feel they don't trust. So CommonBlock pays out part of each year's rent cash flow as a neighborhood dividend, credited quarterly in Spend to every stakeholder household.

9.1 Why residents also receive cash along the way

- **It makes the stake real now.** A quarterly credit in the app, spendable at the corner store, shows residents that their share is working before any building is sold.
- **It is certain where appreciation is not.** The Wealth stake depends on exit prices. The dividend comes from rent that has already been collected. If values fall, residents have still received something.
- **It is paid in Spend, so it moves on the block.** Every dividend dollar lands in the local network first. That gives merchants a reason to join and gives the network steady volume from the first year.
- **Investors are residents too.** Community investors are neighbors who put in \$500 to \$20,000. They receive the dividend alongside the households holding granted stakes: one dividend for every stakeholder household, about 2,965 per fund. (The model counts investors and granted holders separately; a household that is both is paid once, so the per-household figure is slightly conservative.)

9.2 How it is funded, and why it will not strain the fund

The dividend is a share of what the fund actually earns, never a fixed promise.

- **20% of the fund's net operating cash flow each year**, after debt service and reserves. In the pilot that is about \$1.1M over the hold. It starts at a few dollars a household in year one, while buildings are still being bought, and grows with rents to about \$69 by year ten: about \$37 a year on average.
- **Paid only when the fund is healthy.** The dividend is suspended in any quarter in which debt coverage falls below the lender's covenant plus a cushion, or reserves are below target. It restarts automatically when they recover. (The suspension rule is not yet in the model.)
- **CommonBlock adds 25% of its card program's net revenue**, a percentage, not a fixed amount. When volume falls, the contribution falls with it, so the company is never obliged to pay what it did not earn. At the planned scale that adds about \$6 a household a year by year ten; more card use adds more.

9.3 Philanthropy's concession goes to the people it is meant to serve

The foundation's PRI caps its own return at 2% so the fund can take risk in a neighborhood conventional capital avoids. In the pilot, that cap frees about \$5.8M of upside. Half goes to the households holding granted stakes (about \$2.7M after the Trust's tax) and half to community investors. Investors still earn a market return, about 12.2% a year. Each granted stake pays close to twice what the appreciation share alone would pay. That is the charitable purpose of the concession: it reaches the residents it exists to serve without pricing out the neighbors who invest.

We disclose what this costs investors. Without the dividend and with the whole concession going to investors, they would earn about 15%. With the split in place they earn 12.2% in the base case, 10.5% at 2% rent growth, 11.2% if exit prices don't improve, and 9.4% if both happen.

9.4 Guardrails

- **Stakes and dividends are separate from any lease.** Neither can be used to pay rent at a CommonBlock-managed building, neither is reduced for late rent, and neither is ever clawed back.
- **No household is singled out within a building.** Every apartment in a fund or buy-in building carries a stake; there is no lottery inside a building.
- **Counsel to confirm** how the dividend and stakes are treated for securities, tax and public-benefit purposes, including housing-voucher income rules.

10 A circular local economy

Sharing appreciation is the purpose. The rails are what let that appreciation circulate on the block rather than leave it. The loop runs like this:

- **Value arrives in Spend.** The neighborhood dividend, Harvest advances and spending prizes are all paid in Spend. About \$1M of Harvest advances and spending prizes is spent locally over the pilot's hold (all buildings bought at once), and about \$11M of dividends.
- **It can only be spent locally.** Spend works only at local merchants on CommonBlock's list; taking Harvest money out costs 7% instead of 4.5%.
- **Everyday spending carries the volume.** The bigger flow is residents' own money on the CommonBlock card. If 40% of stakeholder households and a few percent of their neighbors use the card for about \$800 a month, a single neighborhood puts about \$16M a year through the card, and every purchase at an allowlisted local merchant starts with Spend.
- **Merchants keep it moving.** A network merchant can pay other network merchants in Spend or place it in Harvest Notes, a 5% senior claim on residents' advances, funding the next neighbor's Harvest from within the neighborhood.
- **The sale settles everything.** Advances and Notes are repaid from the resident pool; savers keep the rest.

Harvest alone is too small to build a local economy: about \$100K a year at pilot scale, or about \$33 per stakeholder household. That is why the wealth stake is the reason to download the app and everyday spending is what builds the network. Each turn of the loop is a transaction that would otherwise have gone to

a card network, a payday lender or a business outside the neighborhood. And because one network covers every neighborhood, overlap between neighborhoods widens the places the money works, which is why the company plans neighborhoods that touch.

11 Owners: improvement advances

Many South Shore owners of multi-unit buildings need capital for maintenance and improvements they can't easily finance. The fund offers them an improvement advance of about 5% of the building's appraised value, disbursed against completed work. In return the fund receives 20% of the building's appreciation above an appraised baseline. The owner keeps title, cash flow and control, and 80% of the upside, and every apartment in the building carries a granted stake for whoever lives there.

The fund's 20% share is then split like everything else: 35% to granted-stake households, the rest to investors. In the pilot the fund advances about \$1.0M, reaching about \$21M of buildings (roughly 14 buildings of \$1.5M, about 343 apartments), and the buy-ins add about \$0.6M to the resident pool. Higher construction interest takes more of the fund's equity, which leaves a little less for advances.

Two assumptions here are placeholders until real data replaces them: a 5% cumulative loss on advances and collection of 90% of the 20% share by year 10. The 20% share itself has not yet been tested with owners.

Policies carried over from earlier work: heavy rehab on occupied buildings goes through owner advances rather than debt, so debt service never forces rent increases; a tenant-initiated turnover gate with anti-inducement rules keeps the program from rewarding displacement; and subsidized buildings stay subsidized.

12 Valuation: conservative by design

Because residents can draw against their stake, the mark has to be trustworthy. Overvaluation would transfer value from patient holders to early drawers. The design is conservative-only:

- Quarterly interim opinions of value set the mark, less an 8% valuation reserve.
- A rotating sample of about 15 desk appraisals a year calibrates them. The reserve must exceed the observed bias between opinions and appraisals (8% against an assumed 5%).
- Full appraisals by licensed appraisers are required whenever property is bought or sold.
- The mark counts NOI and rent growth as they happen but gives no credit for cap-rate compression until the sale.
- If the fund ever buys back an investor's interest before the sale (for example, to give a community investor liquidity), it pays the conservative mark, not a higher appraisal, which protects the holders who stay. Granted Wealth stakes are never sold or redeemed early; Harvest is how residents use their value before the sale.

Valuation costs about \$26,000 a year per fund in the model, charged as a fund expense. That figure may be light and will be re-priced with appraisers.

13 Downside protection, and the downside we disclose

Loss order. The PRI's \$5M takes losses first. On the equity arithmetic, the portfolio can lose about 30% of its value before community investors' capital is touched (assuming the senior loan is not in default). Residents never contribute capital and cannot lose any. Credited Wealth is never clawed back.

Harvest under stress. In a sharp fall in exit value the resident pool can be smaller than what residents have drawn. Advances are non-recourse, so the shortfall comes out of community investors' upside, not residents' pockets or the PRI's capital. At a 30% fall in exit value, investors earn about 6.6%.

The disclosed downside. Offering materials must show:

Scenario	Community investor return
Base: 3% rent growth, exit cap 75 bp below going-in, today's loan rates	12.2%
2% rent growth	10.5%
No exit-cap improvement (exit at the 9.43% going-in cap)	11.2%
Both	9.4%
Exit value 30% lower	6.6%
Base, but all capital raised at the start	11.3%
Entry yield 9.0% instead of 9.43% (closer to recent South Side trades)	11.7%
Entry yield 7.75% (the 2024 peak)	10.3%
Loan rates 1 point lower (6.5% permanent, 8.0% construction)	12.7%
Loan rates 1.5 points lower (6.0% permanent, 7.5% construction)	13.0%

In the 2% rent growth case a granted stake pays about \$345 a year; with both stresses, about \$275; at a 30% fall in value, about \$115, almost all of it from the dividend and the PRI concession. At a 9.0% entry yield, about \$435 and a \$31 dividend; at 7.75%, about \$405 and a \$14 dividend. With loan rates 1 point lower, about \$475; 1.5 points lower, about \$490.

14 Accredited capital: mint for access

The base case assumes no accredited money anywhere. Accredited capital is offered, not counted, and can be added as opportunities appear. When it does come, it follows one rule: it adds to the residents' share and never takes from it.

- **Co-invest.** Accredited investors can invest deal by deal through Reg D SPVs alongside the fund, at the same leverage, on normal terms: a 20% sponsor promote over an 8% preferred return. After the 35% community share and fees, the blended return is about 13% in the model. Each \$1M of co-invest adds about \$430K to the resident pool.
- **Mint for access.** A deal can only be minted onto CommonBlock's rails with the Community Trust's 35% slice coded into its payout contract. The Trust's interest works like a carried interest: no capital in, paid only if appreciation is realized, never charged for losses. The same mint event credits the slice as Wealth to the resident pool.
- **Separation.** Accredited investors hold deal tokens, never resident Wealth tokens. Contributed interests are excluded from the Harvest borrowing base, so no risk flows back to residents. The PRI is not involved in either direction.
- **Other doors.** Accredited investors can also buy Harvest Notes or co-fund owner advances on the same terms as local capital. Neither is in the base case.

Opportunity Zones. The 2025 federal tax law made the Opportunity Zone program permanent, with new ten-year designation rounds starting January 1, 2027 (IRS, April 2026). Whether South Shore's tracts are designated, and whether the fund or co-invest SPVs are structured as qualified opportunity funds, is for counsel. Most community money is not capital gains, so the benefit matters mainly for accredited co-invest and for future buyers of the buildings (Section 21).

15 Fees: who pays what

The fees below are what let a \$10M fund support a professional sponsor without making funds bigger than the community can fill. Nothing is ever charged to residents' stakes or the resident pool.

Fee	Rate	Paid from
Management	1.5% a year on equity raised: the PRI's full \$5M from the first close, and neighbors' capital as each closing comes in	Operating cash flow
Acquisition	1% of purchase price	Year-1 operating cash flow
Construction management	5% of rehab and turn capex	Project budgets
Property management	6% of effective gross income, plus leasing (half a month's rent per new lease) and renewal (\$200) fees	Inside normal operating costs
Disposition	1% of sale price	Investors' share at sale
Promote	20% of community investors' profit above a 12% return, computed after the disposition fee	Investors' share at sale
Card program	CommonBlock's share (about 70% assumed) of standard debit interchange, about 1.2% of card spend	Merchants, through the card networks; 25% of the net goes to the neighborhood dividend
Network merchant fee	1.25% of Spend paid directly in the app	Network merchants
Launch costs	At cost, no margin (legal, audit, filing)	Fund operating cash flow over two years

Per fund, CommonBlock earns about \$50K of promote and \$290K of disposition fee at the sale, in addition to fees from operations. The promote is small because investors' return sits just above its 12% hurdle. Sending half the PRI concession and the dividend to residents is what shrinks it; CommonBlock accepts that trade.

16 CommonBlock the company

16.1 One company, two engines

CommonBlock sponsors most funds itself, acting as general partner: it raises the capital, buys and manages the buildings, and earns the fees and promote above. It also runs the platform: the wallet, the marks, Harvest, the merchant network, the card program and the app. The platform is operating value inside the manager, not a separate software business, and the card program is now a major source of its earnings.

About 90% of funds are CommonBlock-sponsored. Neighborhood groups aren't yet a reliable pipeline, so CommonBlock actively builds and recruits funds. The other 10% are licensed to CDFIs, community development corporations, chambers of commerce and block clubs, a leg with room to grow. Licensed funds pay a 10% platform fee plus either a \$100K upfront license or a performance-based rate.

16.2 Rollout

Neighborhoods are the unit people buy into, but each one doesn't need its own fund. Chicago runs one South Side fund that grows in \$10M stages as it adds neighborhoods, and each new city starts its own fund. The plan stays conservative: one new neighborhood a year for four years, then two a year, with new cities opening in years 5, 7 and 9. By year 10 that is 16 neighborhoods (10 in Chicago and 6 in three other cities), 26 fund stages and about \$614M of property on the platform.

First-loss money is still the binding constraint, but growing one vehicle eases it.

- The pilot and each new city launch with the full 50% first-loss (\$5M on \$10M).
- Once a fund has a track record, later stages carry 40% (\$4M on \$10M). That is a 24% cushion, which still covers a fall from \$60,000 to about \$46,000 a door, roughly where distressed South Shore buildings have sold.
- That cuts the first-loss needed by year 10 from \$130M to \$108M.
- It also lets funders re-invest in a vehicle they know. MacArthur made three \$5M PRIs to Chicago's Community Investment Corporation, whose PRIs now come mostly from banks investing for Community Reinvestment Act credit.

A later stage at 40% first-loss returns about 11.4% to community investors and about \$412 a year per stake. At 30%, it returns 10.8% and \$374, with an 18% cushion.

16.3 Economics

Costs scale with the business: asset-management staff (\$150K for the first \$10M of equity, falling 10% per doubling), platform costs ramping from \$250K to \$1M a year, \$75K of recruiting per new neighborhood, corporate overhead of \$150K plus 5% of revenue, property-management staff at 85% of property-management revenue (a 15% margin, a working assumption to confirm with a Chicago operator), card costs of about \$30 per active card a year, and 28.5% corporate tax with losses carried forward.

The card program assumes 40% of stakeholder households and 3% of other neighborhood households use the card for about \$800 a month. By year 10 that is about \$340M of card spending, \$2.8M of interchange to CommonBlock and about \$1.8M after card costs. These are illustrative assumptions to validate with a card partner; the interchange rate is the only input taken from published data (Federal Reserve Regulation II data put exempt debit interchange at about 1.1–1.2% of transaction value in 2023).

Year 10, conservative rollout	Base case
Revenue (fund fees, property management, card)	about \$15.3M
Run-rate fee earnings (excluding property management)	about \$2.7M
Company value	about \$30.4M
Peak funding need before self-sufficiency	about \$2.3M

Valuation method. Fee earnings are valued at 10x with a 1.25x premium for proprietary software; property-management earnings at 8x; plus unrealized promote at 50%. These multiples are working assumptions to be confirmed with valuation advisors. For context, Apollo bought Bridge Investment Group, a real estate manager with about \$50 billion of assets, for about \$1.5 billion in 2025 (Appendix C).

16.4 Sensitivities

Scenario	Year-10 value	Peak funding need
Base	\$30.4M	\$2.3M
No card revenue	\$15.4M	\$3.3M
Low card use (20% adoption, \$500 a month, 0.9% interchange)	\$16.4M	\$3.2M
High card use (60% adoption, \$1,000 a month)	\$45.2M	\$1.5M
Property-management margin 25%	\$36.5M	\$1.8M
Property-management margin 11%	\$27.9M	\$2.4M
2% rent growth	\$29.5M	\$2.3M
Neighbors' capital also raised at the first close (investors 11.3%)	\$32.8M	\$1.9M

Card adoption and spending per household are now the most sensitive company assumptions, ahead of the property-management margin; the supply of first-loss money is the most sensitive growth assumption.

Without meaningful card use the company still works, but it is modest and needs more startup capital than the base plan, which would come as a larger third equity close (Section 17).

17 Startup capital and ownership

CommonBlock needs about \$2.3M before its fees cover its costs. Most of that need comes from the early years of each fund, when only part of the capital is raised and only part of the buildings are owned, so fees and property-management income start small. The fund's capital can't pay the sponsor's costs, so this sits entirely at the company level. CommonBlock plans to raise it as equity in three closes, each tied to a milestone: \$650K at formation, from angels and neighbors through a Reg CF raise; \$850K at the pilot fund's first close; and \$800K in year 3, once there is a year of card data and first-loss is committed for the second Chicago stage.

Close	When	Amount	Gate
1. Formation	Year 1 (now)	\$650K	Covers incorporation, counsel, the Reg A filing, the card partner and the app build
2. Pilot	Pilot fund's first close (year 2)	\$850K	PRI committed, Reg A qualified, first buildings bought
3. Card and second stage	Year 3	\$800K if the card is on track; up to ~\$1.7M if not	A year of card data; first-loss committed for the second Chicago stage

Foundation money goes entirely to fund first-loss. Valuations are assumed: \$6M, \$9M and \$13M pre-money. On those terms the founder keeps about 68% (an option pool is 10%). If the first close prices at \$4M, the founder keeps about 64%. The closes are sized to the peak need, so cash runs thin in year 5; a small cushion on the third close is prudent. A family office may propose part of a close as debt; the plan doesn't count on it.

Why equity. The company's main risk is card adoption, which drives about half its value. Debt would have to be repaid from cash that depends on the card. Equity investors share that risk instead of collecting on it. Equity also comes from a different pool than foundation PRIs (angels, impact investors, family offices, neighbors through Reg CF), so it doesn't compete with the fund's first-loss ask.

Low card use. If card use is low, the need rises to about \$3.2M. The third close grows to about \$1.7M, likely at a lower price, and the founder keeps about 58%. Nothing is owed. Card adoption still has to be proven early, before the rollout speeds up.

Structure	Year-10 value	Peak need	Founder (fully diluted)	Founder value
Base: three equity closes (\$2.3M), founder leads	\$30.4M	\$2.3M	68%	\$20.6M
Low card use: third close ~\$1.7M at a lower price	\$16.4M	\$3.2M	58%	\$9.5M
Hired CEO and paid board (closes of \$0.9M, \$0.85M and \$1.8M)	\$27.3M	\$3.5M	54%	\$14.7M
For comparison: \$2.3M of catalytic debt (foundation PRI + family-office note with a 5% warrant)	\$30.4M	\$2.3M	85%	\$25.8M

Every case includes a 10% employee option pool. The founder-led cases assume no founder salary; a realistic salary narrows the gap to the hired-CEO cases.

The debt row is shown for comparison only. It leaves the founder more of the company, but it would be repaid from cash that depends on the card, and its foundation PRI would compete with the fund's first-loss ask.

Leadership. The immediate step is to recruit an independent board. Who leads the company day to day is not yet decided: the founder, or a hired CEO (about 5% equity and \$175K) with the founder as executive chair. The hired-CEO option adds about \$250K a year of cost and raises the startup need to about \$3.5M, raised in closes of \$0.9M, \$0.85M and \$1.8M.

18 Governance, entity form and charitable purpose

Entity. CommonBlock is not yet incorporated. It will be organized as a public benefit corporation. A Delaware public benefit corporation reports to stockholders at least every two years, with a third-party standard optional (8 Del. C. §366); an Illinois benefit corporation sends shareholders, and posts online, an annual benefit report assessed against a third-party standard (805 ILCS 40/5.01). Each fund's general partner can be an LLC owned by the company.

Board. A proposed board: the founder (chair), three independent directors (real estate and finance, legal and compliance, community) and an observer seat for a first-loss funder of the funds, plus a CEO once the leadership model is decided. Residents have a voice through a compensated community advisory council.

Two entities, two jobs. The for-profit company runs the funds and platform; the charitable Community Trust holds the residents' interest and guards the mission. Related-party terms between them (property management, acquisition and disposition fees, platform fees) need independent review, as does any deal passed between CommonBlock and other ventures the founder is involved in.

Charitable purpose. Foundation money goes only into the funds' first-loss; CommonBlock's own startup capital is equity from other investors. Treasury regulations list below-market loans to businesses in deteriorated urban areas as qualifying program-related investments (Examples 1, 4 and 5), and buying common stock where the primary purpose is charitable, even if it may profit (Example 3) (Treas. Reg. §53.4944-3(b)). Building resident wealth in disinvested neighborhoods fits squarely, and sending half of the PRI's concession to granted-stake households makes the charitable purpose direct. The real test is private benefit: CommonBlock earns fees and promote from the fund, so the PRI's primary purpose must be charitable, not the sponsor's or the founder's wealth. The mitigants are the public-benefit mission lock, below-market capped terms, resident ownership built into every fund, and expenditure-responsibility reporting. Counsel must confirm.

19 Questions for counsel

- **Securities:** the community offering (Reg A Tier 2 or Reg CF) with a minimum first closing in escrow and rolling closings after it; the PRI's commitment and funding at the first close; the status of Wealth tokens and Harvest Notes; whether a Harvest desk raises broker-dealer questions; CommonBlock's three equity closes, including a Reg CF raise at formation, alongside Reg A fund offerings.
- **Lending:** consumer-lending treatment of non-recourse Harvest advances.

- **Payments:** Spend as a restricted, dollar-backed token under the 2025 federal stablecoin law versus prepaid-access rules, likely issued through a licensed partner; money transmission; merchant restrictions inside the card program; split-tender disclosures; CommonBlock's share of interchange.
 - **Stakes and the lottery:** unit stakes that follow the apartment; whether a lottery for free stakes raises lottery or sweepstakes questions; tax treatment of the grant, the credited value, the dividend and Harvest advances; effects on housing-voucher and benefit eligibility; transferability.
 - **Prize-linked saving:** gambling and sweepstakes law, including awarding Wealth credit as a prize.
 - **Philanthropy:** PRI qualification for the fund first-loss; directing half the PRI concession to granted-stake households; private benefit; a management fee charged on PRI capital; \$4958 on related-party fees.
 - **The Trust:** unrelated business income on the debt-financed share of the resident pool; holding profits interests in Opportunity Zone funds and SPVs.
 - **Opportunity Zones:** the 2027 designation round; whether the community fund or co-invest SPVs should be qualified opportunity funds; and the constraints on a year-9 sale to an Opportunity Zone buyer (Section 21).
 - **Related parties:** terms for storefront deals passed to a separate venture the founder is involved in.
-

20 Risks and sensitivities

- **Rent growth and exit pricing.** The largest drivers of investor returns and the resident pool (see Section 13).
- **Interest rates.** The model uses today's lending rates: about 7.5% for permanent loans and 9% for construction loans. (Community Investment Corporation prices at Treasuries plus 2.5 points.) The Federal Reserve's September 2026 projections have its policy rate easing from 2028, from 4.1% in 2027 to 3.6% by 2029. If the fund's loans cost 1-1.5 points less than today's rates, community investor returns rise by roughly half a point to a point, to 12.7-13.0%. Near-term forecasts don't assume that.
- **Pricing and deployment.** The \$60,000 a door price must hold in real deals, and the fund must find about 278 apartments within two years. Each closing depends on deals being ready.
- **First-loss supply.** First-loss money is still the binding constraint on growth. The pilot and each new city need \$5M; later stages of a fund with a track record need \$4M. That brings the first-loss needed by year 10 to about \$108M instead of \$130M, but these are still large asks.
- **Card adoption.** Close to half of the company's year-10 value depends on residents using the card for everyday spending. It is untested. If use is low, the third equity close grows to about \$17M at a lower price and the founder keeps about 58%; nothing is owed.
- **Startup capital.** The company's \$2.3M comes in three equity closes, each gated on a milestone. A missed milestone delays a close or lowers its price; if the first close prices at \$4M instead of \$6M, the founder keeps about 64%.
- **Execution.** Buying, renovating and managing about 278 apartments per fund, plus owner advances, is operationally demanding. Property-management margins drive company value.
- **Buy-in credit.** Loss and collection assumptions are placeholders; owner appetite for a 20% share is untested.

- **Stake selection.** Unit stakes and a lottery are new. Residents without a stake may see it as unfair; the rules must be clear and must never touch rent.
 - **Resident and merchant behavior.** Drawing rates, merchant participation in the network, merchant reinvestment in Harvest Notes, prize-program effects and Spend uptake are all assumptions.
 - **Regulation.** Securities, lending, payments and gambling rules could each require design changes.
 - **Entry yield.** The 9.43% entry yield is derived from 2024 rents per apartment, not from closed deals; at 9.0% investors earn about 11.7%, at 7.75% about 10.3%. The Cook County Assessor's 2021 valuation of South Side neighborhood apartments uses expenses of 50% of income, with cap rates that “account for expenses and real estate taxes,” 10–16% vacancy, and cap rates of 9–10% for the better buildings (11–14% for the rest). Read that way, a typical building nets roughly \$6,000 a door, above the model's \$5,658; if property tax came on top of the 50%, it would be closer to \$4,700. Real operating statements will settle it.
 - **Valuation.** The conservative mark depends on real opinion-versus-appraisal data once the program runs; valuation costs may be light.
 - **Model limits.** Staggered acquisitions are modeled by blending engine runs at different holds; detailed Harvest and per-stake figures assume all buildings are bought at close. The dividend suspension rule is not yet modeled. Renovation at unit turnover is modeled at a fixed 12% yield on cost and can only help; it should be made two-sided.
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21 What's next

- Engage securities, payments and tax counsel on Section 19.
- Source the pilot fund's \$5M PRI, committed at the first close, and, separately, \$2.3M of equity in CommonBlock in three milestone closes (angels, impact investors, family offices and neighbors through Reg CF).
- Test the model against real South Shore deals at today's prices, owner interest in advances, and a Chicago property manager's costs.
- Choose a card and stablecoin partner, and validate card adoption and spending assumptions.
- Recruit an independent board, and decide the leadership model.
- Design the lottery and unit-stake rules with residents and counsel.
- Revisit the exit. One idea, not modeled: sell in year 9 to catch the later years of the 2027 Opportunity Zone round, giving taxable institutional buyers (for example an Opportunity Zone fund using an UPREIT-style structure) a reason to pay full value. Counsel must check the substantial-improvement test for existing buildings and whether contributed property qualifies; pension funds are tax-exempt and get no benefit.
- Prove the full cycle in South Shore, then open the next neighborhood.

Appendix A: key assumptions and results

Assumption	Base
Fund equity	\$10M: \$5M PRI funded at the first close; \$5M community in closings after a minimum first close
First-loss share	50% at the pilot and each new city; 40% for later \$10M stages of a fund (\$4M first-loss, \$6M neighbors)
Acquisitions	40% at first close, 40% in year 1, 20% in year 2; all sold at year 10
Price per door / going-in cap	\$60,000 / 9.43% (holds in-place NOI at the 2024 level)
Exit cap	8.68% (75 bp below going-in)
Rent growth	3% a year
Market rent / loss-to-lease	\$1,400 a month / 15%
Vacancy and collection loss	10%
Operating expenses (excluding tax)	43% of income (about 53% with property tax; the Cook County Assessor uses 50%, read as including tax)
Property tax	2.2% of value
Deal mix	75% stabilized residential / 25% occupied mixed-use
Rehab per door	\$8,000 stabilized; \$12,000 mixed-use; vacant \$52,500 and storefront \$47,500 (not in the mix)
Leverage	70% construction LTC; 65% permanent and refinance LTV
Rates	9.0% construction; 7.5% permanent and refinance (today's rates)
Reserves	\$300K operating; \$500K smoothing (returned at exit if unused)
Resident share	35% of appreciation above purchase + initial rehab
Granted stakes	1,500 per fund (unit stakes in fund and buy-in buildings, the rest by lottery)
PRI concession	50% to granted-stake households
Neighborhood dividend	20% of net operating cash flow, paid in Spend; plus 25% of CommonBlock's card net revenue
Owner advances	5% of appraised value for 20% of appreciation; \$2M cap

Assumption	Base
Harvest	60% draw limit; 4.5% local / 7% cash-out; Notes at 5%
Card program (company)	1.2% interchange, 70% to CommonBlock, \$30 per card a year; 40% / 3% adoption; \$800 a month

Result	Base
Community investor IRR / multiple	12.2% / ~2.9x (11.3% if all capital is raised at the start; 11.7% at a 9.0% entry yield; 12.7–13.0% if loan rates are 1–1.5 points lower)
Deal return on all \$10M	about 10%
PRI return	2.0% (capped)
PRI protection before community capital is touched	~30% fall in value
Portfolio / apartments	\$16.7M / about 278; worth about \$28.5M at sale
Per granted stake, over the hold	about \$4,500 (about \$450 a year): ~\$2,400 appreciation + ~\$1,800 PRI concession + ~\$370 dividend
Neighborhood dividend	about \$11M over the hold; about \$37 per stakeholder household a year (about 2,965 households)
Resident pool (after Trust tax) / PRI concession to granted households	~\$3.5M / ~\$2.7M
Per stake, appreciation only*: saver / max drawer	~\$2,600 / ~\$760 early + ~\$1,640 at sale
Harvest advanced / coverage at sale*	~\$1.05M / 3.0x
Owner advances / property reached	\$1.0M / about \$21M
Debt coverage after refinance*	about 2.2x
CommonBlock at exit per fund	~\$50K promote + ~\$290K disposition fee
Company, year 10	16 neighborhoods (10 in Chicago, 6 in three other cities); 26 fund stages; ~\$614M of property; ~\$108M of first-loss; ~\$15.3M revenue; ~\$30.4M value; ~\$2.3M peak need, covered by \$2.3M of equity in three milestone closes; founder ~68%
Later fund stage at 40% first-loss	about 11.4% to community investors; about \$412 a year per stake; 24% cushion

*Engine figures with all buildings bought at close. Other results reflect staggered acquisitions, the PRI funded at the first close and neighbors investing in closings. Buildings bought in years 1 and 2 are modeled at year-0 prices and rents. All figures come from the CommonBlock fund model (R5, October 1, 2026).

Appendix B: what changed in this draft

Version 3.1 (October 1, 2026) makes the first four changes below. The rest came in v3.0 (September 30, 2026).

- **Startup capital is equity.** Three milestone closes (\$650K / \$850K / \$800K) replace the \$2.3M of catalytic debt and the founder's \$100K; foundation money goes entirely to fund first-loss.
- **Today's loan rates.** The model now uses about 7.5% for permanent loans and 9% for construction loans, up from 6.85% and 8.0%. Community investors earn about 12.2% instead of 12.6%.
- **Growth by geography.** One Chicago fund grows in \$10M stages and each new city starts its own fund. First-loss is 50% at each launch and 40% for later stages, which cuts the first-loss needed by year 10 from \$130M to \$108M.
- **Rent income sourced.** Rent income stays as modeled. Its source is now the Cook County Assessor, which assumes expenses of 50% of income for neighborhood apartments.
- **Prices reset.** \$60,000 a door instead of \$73,000, reflecting the post-2024 market; the going-in yield rises to 9.43% on the same in-place rents.
- **Renovation costs raised** to \$52,500 a door for vacant buildings and \$47,500 for storefronts, and the deal mix moved to 75% stabilized / 25% occupied mixed-use. Storefront deals go to a separate venture.
- **Staggered acquisitions and a staged raise.** Buildings are bought over two years. The PRI funds its full \$5M at the first close; neighbors invest in closings after a minimum first close. Fees are charged on capital raised, which raises the company's startup need to about \$2.3M.
- **Spend is now dollar-backed but restricted to the neighborhood network**, instead of an ordinary stablecoin, so Harvest money stays local. Checkout is card-first through a partner-issued debit card, with merchant-set limits and two merchant tiers.
- **New neighborhood dividend:** 20% of net operating cash flow to every stakeholder household, co-funded by a share of CommonBlock's card revenue.
- **Half of the PRI concession now goes to granted-stake households.**
- **Stakes:** 1,500 per fund instead of 5,385: unit stakes for every apartment in fund and buy-in buildings, the rest by a win-once lottery. The resident pool stays at 35%.
- **The company** adds the card program as a revenue line; its value and funding need are now card-sensitive.
- **Leadership and entity:** the ask is now to recruit an independent board; CommonBlock will be organized as a public benefit corporation.
- **Previously (v2.0, September 2026):** the \$10M first-loss equity fund, Wealth tokens and Harvest, a single 35% share, a 10-year hold, market fees and the company model replaced the July 2026 capital stack and token design.
- **Not in the current model, to be decided:** the business-credit (BDC) sleeve, the affordable-developer carve-out, the retirement-capital exit and the year-9 Opportunity Zone idea, a right-of-first-refusal first look, an owner token swap, and the dividend suspension rule.

Appendix C: sources

Market, legal and policy facts in this paper come from the sources below. Model figures come from the CommonBlock fund model (R5, October 1, 2026). Rehab costs, property-management fees and margins, valuation multiples, hired-CEO and board compensation, and card adoption are working assumptions.

- [Institute for Housing Studies at DePaul University data, as reported in The Real Deal, "How out-of-state investors drove up distress in Chicago's hottest multifamily market," February 2026](#): South Shore sales of 5+ unit buildings (2011–2024), 2024 foreclosure suits, per-unit prices for Chicago's lower-cost buildings, and South Side rents and renter incomes.
- [Essex Realty Group, "Understanding the Chicago South Side Multifamily Market in 2026"](#): South Side apartment buildings trading near a 9% cap rate.
- [Chicago Metropolitan Agency for Planning, South Shore Local Housing Profile, April 2025](#) (American Community Survey 2019–2023 five-year estimates): South Shore occupied households.
- [Federal Reserve Board, Regulation II interchange fee data for 2023](#): exempt debit transactions (small issuers and prepaid cards) averaged 1.21% of transaction value; 1.12% excluding prepaid.
- [Internal Revenue Service, IR-2026-45, April 2026](#): Opportunity Zones made permanent; new ten-year designations take effect January 1, 2027.
- [GENIUS Act \(S. 1582\), enacted July 2025](#): the 2025 federal stablecoin law referred to in Section 19.
- [26 CFR §53.4944-3, program-related investments](#): Examples 1, 3, 4 and 5 cited in Section 18.
- [Multifamily Dive, "Apollo acquires Bridge for \\$1.5B," February 2025](#): a recent real estate manager sale, cited for context in Section 16.
- [Delaware Code, Title 8, §366](#): public benefit corporation statements to stockholders at least every two years; third-party certification optional.
- [Illinois Benefit Corporation Act, 805 ILCS 40/5.01 \(via Justia\)](#): annual benefit report against a third-party standard, sent to shareholders and posted online.
- [Cook County Assessor, 2021 Hyde Park Township commercial valuation narrative](#): expense ratio, vacancy and cap rates for neighborhood apartments.
- [Community Investment Corporation, multifamily summary term sheet \(2024\)](#) and [FRED, 5-year Treasury yield](#): loan pricing at Treasuries plus 2.5 points (about 7.56% in late September 2026).
- [FRED Blog, "FOMC Summary of Economic Projections, September 2026"](#): median policy rate 4.1% at end-2026 and end-2027, 3.9% in 2028, 3.6% in 2029.
- [MacArthur Foundation, grants to Community Investment Corporation](#) and [CIC FY2025 Performance and Credit Review](#): repeat \$5M PRIs (2010, 2011, 2013) and bank PRIs.

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